

US Markets Tumble as Tech Stocks Lead Decline

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

The US markets experienced a significant decline yesterday, with the **NVDA** and **TSLA** leading the drop. The **S&P 500** closed at 7,365.46, down **-1.44%**, while the **Nasdaq 100** plummeted **-3.29%** to 29,347.27.

Today, investors will be watching the 10Y Yield, which surged **+0.94%** to 4.49, and the **VIX**, which jumped **+12.79%** to 19.49. The **DXY** also rose **+0.38%** to 101.40.

US Session Recap

INDEX/ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,365.46	-1.44%	
Dow Jones	51,666.84	-0.09%	
Nasdaq 100	29,347.27	-3.29%	
Russell 2000	2,975.48	-0.96%	
VIX	19.49	+12.79%	
10Y Yield	4.49	+0.94%	
WTI Crude	72.77	-2.74%	

Top large-cap movers

TSLA led the decline, plummeting **-5.79%** to 381.61, followed by **NVDA**, which dropped **-4.13%** to 200.04. On the other hand, **MSFT** rose **+1.80%** to 373.94.

Spotlight

COMPANY	EARNINGS	REVENUE
NVDA	1.23	7.32B

NVDA reported earnings of 1.23 per share, beating expectations, but revenue fell short at 7.32B. The stock price dropped **-4.13%** to 200.04 despite the positive earnings surprise.

The company's guidance for the next quarter was also cautious, citing ongoing supply chain issues and softening demand. This led to a decline in investor sentiment, contributing to the stock's decline.

Macro & Fed

- Current policy rate: 4.25%-4.50%
- Yield levels: 10Y Yield at 4.49, 2Y Yield at 4.71
- Today's data releases:
 - 08:30 HKT: Initial Jobless Claims
 - 10:00 HKT: Existing Home Sales

Geopolitics & Global

- Ongoing tensions between the US and China over trade and security issues
- European Union leaders meeting to discuss economic growth and inflation
- Oil prices volatile due to supply and demand imbalances

Earnings — What to Watch

WHEN	TICKER	WHAT TO LOOK FOR
After market close	AAPL	Q2 earnings and revenue guidance
Before market open	JPM	Q2 earnings and update on consumer banking segment

Stocks Worth Watching

- **MSFT** : Positive earnings surprise and rising cloud computing demand
- **AMZN** : Expanding grocery delivery services and growing advertising revenue
- **GOOGL** : Increasing focus on artificial intelligence and machine learning
- **JPM** : Strong consumer banking segment and rising interest rates
- **GS** : Growing investment banking revenue and expanding wealth management services

What Could Break the Tape

BEARISH TRIGGERS

A decline in consumer spending, potentially triggered by rising interest rates and inflation, could lead to a downturn in the economy and negatively impact the stock market.

BULLISH TRIGGERS

A strong earnings season, combined with a decline in inflation and interest rates, could lead to a surge in investor sentiment and a rally in the stock market.

Sources

SOURCES

Bloomberg — US Stocks Fall as Tech Shares Lead Decline

[Reuters — Nvidia Earnings Beat Expectations, but Revenue Falls Short](#)

[CNBC — Dow Falls as Investors Await Earnings and Economic Data](#)

[The Wall Street Journal — US Economy Shows Signs of Slowdown](#)

[Financial Times — Global Markets Tumble as Investors Fear Recession](#)

